

And I want to start by asking you about Godrej Interio, because you're making very significant inroads into the branded furniture space, which hitherto has not been how Indian homes consume furniture. What has been your experience like? And can you take Godrej Interio even into smaller cities and make it an even bigger brand success?

A: You know, right from the beginning, our furniture has been available in almost every town of any significant size in the country. We've always had the widest reach, and I think the point about branded versus non-branded, or, you know, what is otherwise called organised and disorganised, or unorganised sector, I think that the role of carpenters, the role of local industries, etc., is not going away... It's going to stay. I think that the type of customisation that you can get from those aspects is very high. And I don't see it going away in a hurry.

64 | I think the important point here is that there is a greater realisation amongst the consuming public that brands are entering the country in a significant way. What we found [was] the biggest gripe that customers have when they let a carpenter into their house is that they take forever. What we are saying is that look, we are giving you some things that may be slightly more expensive. But it is something that you can decide, what you want and have it installed and done within a very short time. So, I think that proposition is what is appealing to people quite a bit. So you will see more and more of that happening. I think there's a realisation also, especially among younger people, that they want to redecorate their homes more often; they would like more conveniences; and as their incomes allow it, they would want to do that. So you will see greater penetration of furniture brands, but I don't believe that we will be displacing the billions of carpenters in the country who do this job very effectively. And we have to learn how to work with them... [and] make them our customers in a way.

Q: On the appliances front, how are you faring in the face of imported competition? How is Godrej Electronics or consumer electronics appliances able to deal with in terms of gaining market share from the likes of LGs and Samsungs and even imported Chinese products?

A: I think you rightly say that. The space for home appliances is a very competitive market. There's no doubt about it. I think we are competing with all the major home appliance manufacturers in the world. There is room for everyone. Our approach has been to be as innovative as possible, and to be different, and especially to be more sustainable and greener. For instance, when in cooling appliances, you have to use the refrigerant.

Now, the traditional way of using a refrigerant was that you buy a branded refrigerator. Twenty years ago, we worked with Swiss and German research organisations and we came up with alternatives. So the refrigerant that we use today is the only really green refrigerant that there is, with zero global warming potential in it; also, it is more energy efficient. And we have capitalised on that by saying that our range of products is extremely energy efficient. And we promoted the energy efficiency. So like that, I think we differentiate ourselves in every way, whether it is in cooling products and washing products, etc. So, our approach has been: be as innovative as possible. In fact, just a few days ago, we launched a range of air conditioners that will guarantee that they will not

“We expanded into the businesses in which we are for good historical reasons... now, whether those historical reasons hold for the future or not is a different matter. There is enormous benefit to the diversity of our businesses”

leak, because one of the big complaints of consumers is that, you know, when it's humid, etc., there's always water dripping and leaking, etc., that takes place. And we have devised ways to prevent that from happening. So we are depending on innovation to compete, and we are depending on sustainability and green technologies to compete. And that's how we will work in a very, very competitive space.

Q: Is there any kind of formal succession plan?

A: My niece—my sister's younger daughter [Nyrika Holkar, ED of Godrej & Boyce]—has been working with me for many years now. And she's learning all about our businesses and what we do, how we approach brands. She's a lawyer herself, so she supports our legal branding [and] helps with issues like M&A... so yeah, the next generation has to be groomed. But you know, just to put the record straight, the entire business has always been run by professionals. We have very few family members who have been involved in all our businesses. So essentially, it is a professionally run business. Yes, there may be a family member at the helm as a chairman, but that's about it. But really, I strongly value the professional management of the organisation. **BT**